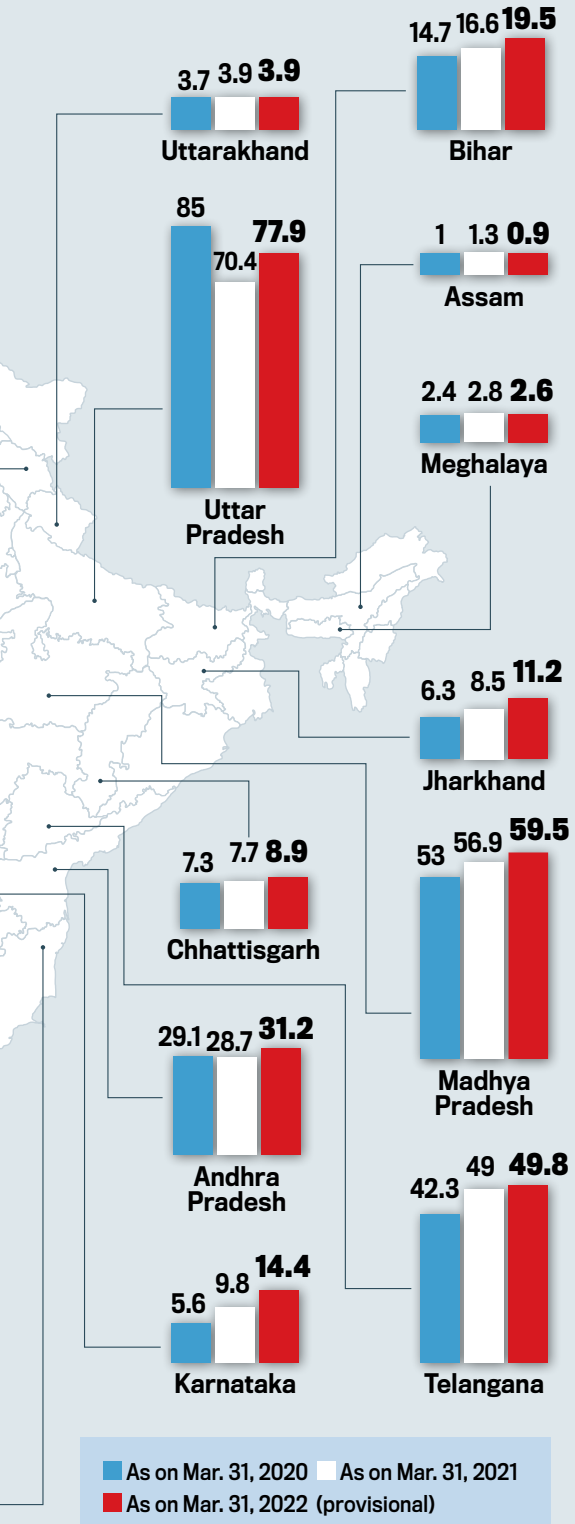
₹5.41 LAKH CRORE
Accumulated losses of discoms at the end of FY23

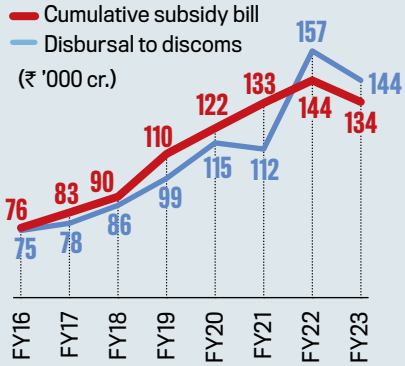


HOW DISCOMS ARE TURNING AROUND

KEY POLICY MEASURES TO ADDRESS STRUCTURAL ISSUES RELATED TO SUBSIDIES, PRICING, TECHNICAL LOSSES AND DEBT

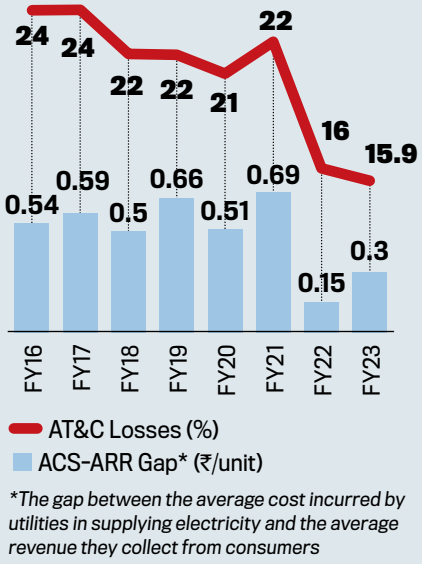
RESTORING THE CASH FLOW

- Delays in disbursing subsidy dues—on account of lower tariffs for certain consumers like farmers—had direct impact on the cash flow of discoms
- Now, states have to clear these dues first for discoms to get loans for meeting their commitments. In the past two fiscals, states disbursed over 100% of the annual subsidy dues



RATIONALISING THE SUPPLY AND PRICING

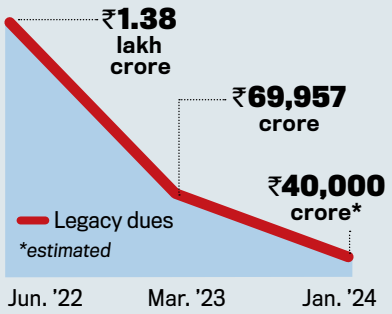
- For years, the aggregate technical and commercial (AT&C) losses on account of technical issues, payment defaults and other inefficiencies hovered around 22-24%
- Additional borrowing permissions have been linked to bring them down to 12-15% by FY25
- Another commitment was for tariffs to match the cost of supplying power. As figures show, discoms are getting better at recouping their costs



**The gap between the average cost incurred by utilities in supplying electricity and the average revenue they collect from consumers*

CLEARING THE LEGACY DUES

- As discoms kept delaying payments to gencos, it led to operational debt
- In 2022, they were given a roadmap to clear these dues; delaying payments results in progressive disconnection of supply from the exchange
- The legacy dues have come down substantially since then



Source: Ministry of Power/ARR filings of discoms